

HUT pitch deck

PITCH — HUT — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order; both benches land on flat, and the reopen work is a price band near \$60 plus one specific document we have never been able to read.

What we believe

Hut 8 has turned itself from a bitcoin miner into a builder of leased AI data centers. It says it has 949 megawatts under contract across two Texas/Louisiana campuses, worth \$26.6 billion of rent over the base terms of the leases, and that once those campuses are running they should throw off more than \$1.75 billion a year in net operating income. It has already borrowed \$7.5 billion against the two projects — River Bend at 6.192% and Beacon Point at 6.129%, both maturing November 2042 ([10-Q, quarter ended 6/30/2026](#)).

What we believe, after both benches:

- 1. The asset is probably real, and the price already pays for it.** Grant the company everything it claims — every megawatt leased, every dollar of promised income, an investment-grade tenant that never misses, Phase 2 financed on Phase 1 terms — and value that income stream the way the credit market values the debt secured by the very same cash flows, then discount two years for the build. You get roughly \$95–\$118 a share against a tape of \$80.86. That is not a discount worth doing research for.
- 2. The one document that determines whether the income is real has never been filed anywhere.** The \$9.8 billion, 15-year lease covering 352 of the 949 megawatts was announced in an 8-K filed under Item 8.01, “Other Events,” rather than Item 1.01, “Material Definitive Agreement” ([8-K, 2026-07-20](#)). Item 8.01 does not trigger the SEC rule that would require the contract itself to be attached, and the [filing index](#) contains only a press release. So nobody outside the company can read the termination clauses, the conditions the tenant must meet, or the date by which Hut 8 must deliver the halls. Both of our own benches at one point asserted there was no termination-for-convenience right. Neither could point to a source. **That is the honest reason we are flat.**
- 3. The balance sheet is thinner than the headline.** Of the \$8.1 billion of “liquidity,” only \$233.6 million is actually unrestricted; \$6.787 billion sits in project accounts the bond indentures control. And of the 17,316 bitcoin on the balance sheet (\$1.0365 billion at quarter-end), 3,090 are pledged for miner purchases and 4,850 are pledged as collateral — 46% of the bitcoin is not a cushion, it is someone else’s security.

What the market believes

Seventeen analysts cover the stock and all seventeen rate it Buy, with a median target of \$156 and a range of \$80 to \$263; KBW trimmed to \$154 on 8/7 ([stockanalysis.com forecast page](#)). The street is doing three things we are not: valuing the stabilized income at a 5–6% capitalization rate, paying for megawatts that are not yet under contract (the Vega site, the River Bend expansion, roughly 1,158 acres of powered land), and paying an additional multiple for management’s demonstrated ability to raise capital.

Meanwhile the stock is down 42.6% from its \$140.80 high and up roughly 269% from its low, closing at \$80.86 on 2026-08-21, an 8.79% down day ([stockanalysis.com quote](#)). So the market is simultaneously enthusiastic (every analyst positive) and nervous (a large drawdown). Our read of that split: the drawdown is mostly bitcoin beta and momentum give-back, not a re-rating of the data-center story. The quarter’s headline loss came almost entirely from a ~\$105 million mark on the bitcoin, not from operations.

Why we might have edge

- **We read the venue, not just the number.** The finding that the anchor lease was disclosed under “Other Events” — so the contract itself never had to be filed — is not in any sell-side note we can find. It converts “15-year contracted revenue” from a fact into a claim.
- **We priced the win, not the risk.** Most of the argument about this stock is about whether Phase 2 gets financed and at what spread. We skipped ahead and priced the world in which everything works. In that world the stock is worth roughly what it trades for. That makes the financing debate irrelevant to whether we should own it — a specific, checkable claim.
- **We counted the encumbered bitcoin.** Nearly half is pledged, which turns a bitcoin drawdown from a mark-to-market annoyance into a potential margin call stacked on top of \$7.5 billion of project debt.
- **Honest limit on this edge:** none of the three is a secret. They are all in the 10-Q or the filing index. Our advantage here is diligence, not information.

Why it might be priced in

Real reasons the flat could be the wrong call:

- **The 5.5% capitalization rate may simply be right.** Long-dated, triple-net, investment-grade-tenant data center leases with contractual rent escalators have traded at those rates. At 5.5% our own corrected math gets to roughly \$118 a share, +46% from here, before any credit for uncontracted megawatts. That is not a rejection; that is a decent return we are declining because we cannot read the lease.
- **We pay for nothing beyond the 949 contracted megawatts.** The land, the interconnection queue positions, and the demonstrated ability to place \$7.5 billion of project debt are real assets we assign zero value.

- **Our audit found the bearish table was harsher than it was labeled** (detailed in the self-check section below). Correcting it moves the fair value up, not down.
- **The regulatory signal is mildly positive:** Texas named Hut 8 among the operators committing to the governor's new data-center standards on 2026-08-13 (gov.texas.gov). That is a commitment to comply, not a grid connection approval — but it is not nothing.

What could go wrong

This section assumes the position we would actually hold — a small starter bought near \$60 if the reopen conditions below fire. Today's exposure is zero, so today's risk is the risk of being wrong about *not* owning it.

Failure narrative 1 — the lease is not what the press release says. The contract is amended, delayed, or partly terminated: an outside-delivery-date right the tenant exercises when the halls slip, a condition precedent Hut 8 misses, or a rent reset. Because 74% of the contracted megawatts sit under this one unreadable document, a single clause could remove most of the value we are underwriting. *Tripwire:* partial — an Item 1.01 8-K or a lease exhibit in the 10-K would tell us the terms, and a material amendment should eventually be reported. But we would learn it after the fact.

Failure narrative 2 — the buyer of AI capacity changes its mind about the pace, not the plan. An unnamed hyperscaler-grade tenant that digests capacity more slowly does not default; it renegotiates. The stock does not need a bankruptcy to lose half its value; it needs the market to move the capitalization rate from 5.5% to 7%, which on our own table is \$118 → \$73. *Tripwire:* monitorable — tenant identity, hyperscaler capital-expenditure guidance, comparable data-center transaction pricing.

Failure narrative 3 — the one with no tripwire. There is no disclosure venue for this lease. It was filed under a heading that carries no exhibit requirement, the tenant is unnamed, the periodic filings carry no customer-concentration disclosure (correctly so, since lease revenue has not started), and the company's own pattern is to communicate through press releases rather than material-agreement filings. That means a bilateral change to the economics — a side letter, a delivery-schedule amendment, a rent abatement in exchange for a term extension — can happen and reach us only whenever and however the company chooses to characterize it. We cannot build a sensor for a document that has no home. **Unknown-unknown class: disclosure-plane absence** — the risk is not that we are watching the wrong plane, it is that the native plane for this fact does not exist. Everything in this deck that depends on the lease is therefore unfalsifiable in real time. A closely related instance of the same class: we have no way to check where these campuses stand in the ERCOT interconnection queue, because we have no connector to the interconnection registry.

The reflexive and structural leg. - *Our size against the market's.* This is a roughly \$10 billion company and a heavily traded momentum name. A 0.25–0.75% book position is trivially small against daily volume, and we would not move the price. We did not measure average daily volume, so treat “trivially small” as a judgment, not a measurement. Market impact is not the risk here. - *Our own predicted flow is the risk.* Our reopen band at ~\$60 is precisely the level a bitcoin drawdown forcing margin on the 7,940 pledged coins, or a Phase 2 equity raise, or a lease disappointment would produce.

In other words, the price we want and the news we fear are the same event. If we get filled at \$60, the most likely explanation is that something we could not read has broken. Any order there must sit passively and be treated as adverse selection, never as a dip to chase. - *Doctrine interactions*. HUT is AI-infrastructure exposure. If we already carry AI-infrastructure names, this does not diversify — it concentrates, and it does so with 6:1 project leverage and a bitcoin book on top. Adding it because it is “cheap versus the street” would be buying market beta and calling it stock selection. - *A doctrine conflict we should name*. Our default is that a court with no named kill earns a minimum starter. This court has a named kill — the lease is unreadable, which is a data problem, and data problems kill rather than resize. So the flat is properly earned, not a shrug. But it also means a low price alone should not reopen it: at \$60 we would still not have read the lease.

If this position loses money, the most likely reason will be that we bought the price band without the lease — filled near \$60 by exactly the forced or informed selling that a change in the unreadable anchor contract would cause, and holding a levered single-tenant asset whose terms we still could not source.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Price in the evidence pack (\$88.65)	Compared against vendor close for 2026-08-21	Pack was one session stale; actual close \$80.86, -8.79%; drawdown from high is -42.6%, not -37%	Yes — pack superseded
Broker-side quote and bars	Attempted IBKR contract lookup	Permission denied; all price work here is vendor-sourced, not broker-sourced	No — coverage gap
Financial figures in the evidence pack (revenue, share count, cash flow)	Compared to the 10-Q	The pack’s XBRL block is a year stale — latest rows are 2025 quarters. Q2-2026 figures used here were pulled from the filing directly	No — pack superseded
“2.4× interest coverage” (our bull bench)	Bear bench recomputed as full debt service	Bull’s number was arithmetically fine <i>as interest coverage</i> ($\$7.5\text{B} \times 6.16\% = \462M); bear swapped in a different metric and labeled the original “refuted.” Bear bench error. Bear also used a 15-year tenor when Nov-2042 is 16.3 years away	Partly — the sensitivity is fair, the “refuted” verdict was not
Whether the notes amortize	Read the maturity table in the 10-Q	The filing discloses only \$235.1M (2027), \$86.4M (2028), \$100.6M (2029), \$238.0M (2030), \$7,075.0M thereafter. The amortization profile past 2030 is not disclosed — the bear bench’s level-payment schedule is an assumption, not a fact	No — assumption, flagged
“The metric only appears in a furnished, non-liable exhibit”	Fetches the actual 8-K body	False. The 2026-07-20 filing is Item 8.01 with the press release “included herewith,” no furnishing language, no liability disclaimer. Bear bench error, and it was the basis of a proposed	No — overturned

Claim	How checked	Found	Confirmed?
		new detector — that detector should not be adopted as written	
The real disclosure problem	Read the filing index	The true finding is different and sharper: Item 8.01 avoids the material-contract exhibit rule, so the lease itself is not filed anywhere . This replaced the bear's wrong version	Yes
Missing customer-concentration disclosure = masking	Checked against accounting rules	Lease revenue has not started (leases commence 2027), so concentration disclosure is not yet required. Not masking — correct accounting . Bear bench overreached	No — overturned
Value-per-share table omitted the bitcoin	Bull bench checked the balance sheet	17,316 BTC at \$1,036.5M plus \$6.0M of tokens, less ~\$200M non-project debt ≈ +\$6.8/share . Corrected table: 5.5% → \$118, 6.16% → \$95, 7% → \$73, 8% → \$53. Bear bench error, adverse to the bear case	Yes — corrected
The “coupon is a floor on the capitalization rate” argument	Bull bench checked the units	A yield-to-maturity on amortizing fixed-rate debt is not a floor on a capitalization rate applied to an escalating rent stream; cap rate plus escalator is closer to an unlevered return. Bear's mechanism is a units error . Offsetting error: the bear capitalized “expected <i>average</i> annual” income as if it were year-one income, which overstates. The two roughly cancel — the table is about right by accident, but the reasoning should not be reused	No — mechanism rejected, result survives
The discount column in the value table	We re-derived it ourselves	It does not reconcile . Discounting \$135 two years at 12% gives \$108, not the \$88 printed; every row implies an additional unlabeled deduction of about \$24/share (~\$3 billion). The bear bench explicitly said the table was <i>before</i> corporate overhead, mining losses, taxes, and the Phase 2 equity slice — yet the arithmetic already subtracts something of about that size. Either the label or the math is wrong, and the direction is adverse to the bear case . Without the unexplained deduction, the coupon-rate case is ~\$114/share (+41% from \$80.86) and the 5.5% case is ~\$137 (+69%)	No — our own table is unreliable; the “no capitalization rate clears our return bar” conclusion rests on an undocumented subtraction
Convertible debt / dilution overhang	Pulled the equity note before doing any per-share math	Coatue convert converted in May 2026 into 9,715,476 shares; no converts outstanding ; 123,190,559 shares at 6/30/2026 (123,259,468 on the 7/31 cover). Per-share denominators are sound	Yes

Claim	How checked	Found	Confirmed?
“Four brokers cover it” (our bull bench)	Counted	Four <i>questioners on the earnings call</i> ; seventeen analysts cover it . Bull bench error	No — corrected
Analyst count as evidence of crowding	Reviewed the bear’s reasoning	Coverage count is not a reason to reject; the bear’s clause that coverage “strengthens crowded” was struck	No — struck
Texas regulatory item	Read the governor’s release	Real, and it says what the bear said: a commitment to comply with standards, not a grid interconnection approval	Yes
Insider selling / offering risk	Checked the eight Form 4s of 2026-06-15, the Form 144, and the filing inventory	Routine vest-and-sell; no registration statement for a follow-on in the recent filing inventory	Yes
Next earnings date (2026-11-04)	Checked for a company announcement	Vendor-derived only; no company release names it . The company’s pattern is a scheduling release about three weeks ahead	No
Satellite construction-progress check on the campuses	Attempted	Unusable: every non-headquarters coordinate we hold is a town/parish centroid. West Feliciana Parish at 30.884/−91.402 is roughly 15 km from the actual River Bend campus. This is the highest-value check we could not run , and fixing it requires parcel geometry from county appraisal records	No — coverage gap
Building-permit check on the Texas campus	Attempted	Our permit connector covers the City of Austin only; the sites are in Nueces County and West Texas. The correct connector does not exist on this desk	No — coverage gap
Consumer-facing detectors (app reviews, product heat, beauty, etc.)	Run and dismissed	All spurious matches driven by a legacy industry code (6199) that still tags this company as a financial-services firm	Yes — not applicable

Net of the self-audit: the flat stands, but on narrower grounds than either bench claimed. It stands on the unreadable lease, not on the valuation table — because our own valuation table has an error in it that runs in the bulls’ favor.

PROPOSED ENTRY BANDS

No entry today at \$80.86. Both benches recommend flat. The reopen conditions, taken from the benches’ own math:

Reopen trigger A — price. A print below **\$60**. Basis: on the corrected value table, an 8% capitalization rate on the funded, fully leased asset is worth about \$53/share; a 7% rate about \$73. Buying at \$60 means we are paid for the risk we cannot read, rather than paying for perfect execution. The bear bench proposed \$55 on its (over-deducted) table; the bull proposed \$60 on the corrected one.

We take \$60, and we treat it as a trigger to re-run the court, not as an authorization to buy — the unreadable lease is a data problem, and data problems are not cured by a lower price.

Reopen trigger B — the document. Any of: (i) the lease filed as an exhibit under Item 1.01 or in the 10-K exhibit list, with termination, conditions-precedent, and outside-delivery-date terms readable; (ii) the tenant named, which is the single largest input into the capitalization rate and by itself can move our value from \$73 to \$118; (iii) delivered construction cost materially below the \$12.07 million per megawatt implied by Phase 1 financing, which shrinks the equity Phase 2 still needs.

Explicitly not triggers. Phase 2 financing pricing inside 6.2%. A tighter spread moves value per share by single digits and adds roughly \$4.25 billion of debt ahead of us. A financing headline is not an entry signal when the fully financed outcome is already close to the tape.

If both triggers clear (price near \$60 *and* the lease readable, tenant named): - **Starter: 0.25% of the book**, limit order, passive, never a market order and never a chase. - **Add: a further 0.25% only after the first full quarter of actual lease revenue is recognized** — not on an announcement, on recognized revenue in a filed statement. - **Hard ceiling: 0.75% of the book, ever**, given one contract, one unnamed counterparty, 6:1 project leverage, and the overlap with any other AI-infrastructure exposure we hold. - **Exit / trim:** trim half on a print above **\$118** (the 5.5%-capitalization value of the funded asset — at that point the market is paying for uncontracted megawatts we assign zero to). Exit in full on any disclosed amendment, termination, or delivery-date extension to the anchor lease, at any price. - **No options, no premium selling.** The binary here is an unreadable document with no date attached; there is nothing to sell time against.

Catalyst dates. - **2026-11-04** — third-quarter results. Vendor-derived, **not confirmed by the company**. Expect a scheduling press release roughly three weeks prior; that release, not the vendor calendar, is the date. - **Undated, “coming weeks” per the company (as of 8/4)** — Beacon Point Phase 2 financing. Do not stage anything against an undated binary. - **Q1 2027** — first energization and lease commencement per company statements; date unverified by us. - **Late Feb / early Mar 2027** — the 10-K. First realistic opportunity for a filed lease exhibit and, once lease revenue begins, the first period in which customer-concentration disclosure actually becomes required.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 60.0 (deck-provisional: Re-court trigger: 8% capitalization rate on the corrected funded-asset value is ~\$53/sh, so \$60 pays u)
- filing watch: 8-K until 2027-02-19 (deck-provisional: Any Item 1.01 material definitive agreement — the only filing type that forces the anchor lease itself)
- dated pack HUT|2026-11-04: HUT: Q3 2026 results — vendor-derived date, no company release names it; company pattern is a scheduling PR ~3 weeks prior. (date confirmed=
- dated pack HUT|2026-09-30: HUT: Beacon Point Phase 2 financing — company said ‘coming weeks’ on 2026-08-04; this date is our placeholder, not a company date, and is ex

- dated pack HUT|2027-03-31: HUT: First energization / lease commencement per company statements; quarter unverified by us. (date confirmed=False)
- dated pack HUT|2027-03-01: HUT: FY2026 10-K — first realistic chance of a filed lease exhibit and required tenant-concentration disclosure; date estimated from prior-y

What remains unverified

1. **Every term of the anchor lease** — termination for convenience, conditions precedent, outside delivery date, rent escalators, security. Not filed, not readable from any venue. Both of our benches asserted facts about this document that neither could source.
 2. **The identity and credit of the tenant behind 704 of 949 megawatts.** “High investment grade” is the company’s characterization, unverified by us.
 3. **The amortization schedule of the \$7.5 billion of notes past 2030.** Not disclosed. Whether the equity holds a residual after amortization, or refinancing risk at lease expiry, turns on this.
 4. **Total project construction cost.** We back into \$12.07 million per megawatt from Phase 1’s financing; it is not a disclosed capital budget.
 5. **Grid interconnection status** for both campuses. No connector, no check.
 6. **Construction progress on the ground.** No usable coordinates.
 7. **Our own value table.** The discount column contains an unexplained ~\$24/share deduction. Until that is rebuilt from scratch, treat every value in this deck as indicative, and note that the correction runs in the bulls’ favor.
 8. **Broker-side pricing.** All prices here are vendor closes; the broker connection was unavailable.
 9. **The next earnings date.**
 10. **Average daily trading volume.** Not measured; our “our size doesn’t matter” claim is a judgment, not a calculation.
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